Signé par Em

Nº 17

COLLECTION

SELLERS

Setting the Right Price: A Decisive Step

Position your property at the right price to attract the right buyers and maximize your result.

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

COLLECTION SELLERS · GUIDE NO. 17

Setting the right price

The comparative market analysis explained — selling at fair value

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The starting price is the decision that most influences the outcome of your sale. Neither the price paid in the past, nor your renovations, nor your financial needs determine the value: it is the market that decides. The tool to read it is called Comparative Market Analysis (CMA).

This guide explains how an ACM is built, why the municipal assessment is not the value, and how the starting price influences the final price.

Each chapter ends with a lined “My Notes” page to prepare YOUR pricing strategy.

Setting the right price is the most important decision in a sale. This guide explains what really determines the value, how a comparative analysis is constructed, why the municipal assessment is not the price, and how the price premium turns against the seller.

The key message: the market rewards a fair price and punishes an inflated price.

CHAPTER

What (really) determines value

> *Distinguish market value and false references.*

Market value is the price that an informed buyer is willing to pay today, under current market conditions. It has nothing to do with:

- What you paid for the purchase (the past does not interest the buyer).
- The cost of your renovations (not all are equally recoverable).
- Your financial needs (the buyer doesn't care).
- Municipal assessment (a fiscal tool, not a sales price).

Market value is the price an informed buyer pays today - not your municipal assessment, not what you invested, not what you “need.” These false references lead to price premiums. Only recent comparable sales tell the market truth.

> EMILIE'S ADVICE
>
> *Detach yourself from the “emotional” price. The market doesn't pay for your memories or your efforts, it pays for what the property is worth today. It's sometimes hard to hear, but that's what sells.*

CHAPTER

Comparative Market Analysis (CMA)

> *Understand how a price based on facts is constructed.*

The ACM compares your property to recent sales of similar properties in the same area: type, surface area, number of rooms, condition, garage, land, etc. We then adjust for the differences (a comparable property with an extra garage is worth a little more, for example).

- RECENT sales (the market is moving) and REALLY comparable.
- Adjustments for objective differences.
- We also look at the properties currently for sale (your competition) and those which have not found a buyer (often too expensive).

The ACM compares your property to similar recent sales (area, size, condition), with adjustments for differences. This is the rational basis for a credible price. A solid ACM protects you against both overpricing (which leaves you hanging) and underpricing (which leaves money on the table).

> EMILIE'S ADVICE
>
> *Be wary of "for sale" properties as a reference: anyone can ASK for a price. These are the SOLD properties that tell the true value.*

CHAPTER

Municipal assessment vs. market value

> *Do not confuse the tax tool and the sales price.*

The municipal assessment is used to calculate your taxes; it is established on a mass basis, on a reference date, and may be higher or lower than the actual market value. The municipality also applies a “comparative factor” to try to bring it closer to the market.

Conclusion: never set your sales price on the municipal assessment. It can serve as a clue, never a verdict.

The municipal assessment is used to calculate your taxes: established in mass and with a delay, it is not the market price. Never use it to set a sales price or make an offer - that's the number one misunderstanding, both ways.

> EMILIE'S ADVICE
>
> *“My house is valued at this much in the city” is not a price argument. Municipal assessment and market value are two different things; only the market sets the selling price.*

CHAPTER

The starting price strategy

> *Choose a price that maximizes the final result.*

A fair price, aligned with the ACM, quickly attracts buyers and can generate competition - which often drives up the final price. A price that is too high scares away buyers, the property stagnates, and we end up going lower... by selling lower and later than with a good price from the start.

- Good price from day 1: enthusiasm, visits, offers, sometimes bidding wars.
- Price too high: few visits, image of “property lying around”, successive drops.
- The first serious buyer is often the best: don't let him slip away through excessive optimism.

The starting price strategy depends on the market: a fair price, aligned with the ACM, attracts quickly and can generate several offers. The first weeks are decisive; a well-calibrated price at launch almost always brings in more than an inflated price that will have to be lowered.

> EMILIE'S ADVICE
>
> *The market judges your price in the first two weeks. If showings are rare or without offers, it's almost always a matter of price - listen for that signal early rather than later.*

CHAPTER

Why overvaluing is expensive

> *Understand the risk of a price that is too high.*

It is often believed that a high starting price “leaves room for negotiation”. In reality, it's risky:

- The property attracts fewer visits from the start.
- She accumulates **days on market**, which worries buyers.
- It is used to **sell the others** (yours makes the neighbor look good, better price).
- Successive declines send a signal of weakness.

A fair price from the start generates more interest - and often a better final price.

Overvaluing is expensive: fewer visits, days that accumulate, a signal of weakness, and successive declines that worry. Worse, your property is used to “sell” the better priced properties of neighbors. A fair price from the start generates more interest - and often a better final price.

> EMILIE'S ADVICE
>
> *The market “responds” especially in the first two or three weeks. Better a fair price which creates enthusiasm than an inflated price which scares people away and which will have to be lowered later.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Ask Emilie for a complete comparative analysis.
2. List my renovations and check which ones are recoverable.

Within 30 days

1. Set a starting price aligned with recent sales.
2. Define an adjustment plan if the market does not respond.

Then

1. Monitor signals (visits, offers) and react early.

To set my price

1. Have a recent and objective comparative analysis established.
2. Ignore the municipal assessment and my past costs; follow the market.

REFERENCES

Resources & glossary

- Market value: price an informed buyer pays under current conditions.
- ACM: comparative market analysis, based on similar recent sales.
- Adjustment: price correction for differences between properties.
- Municipal assessment: tax value, different from the sale price.
- Starting price: strategic decision that influences the final price.

- Market value: the price an informed buyer pays today.
- ACM: Comparative market analysis based on similar recent sales.
- Municipal assessment: tax value, distinct from the sale price.
- Overvaluation: too high a price which causes the property to drag on and fall.
- Days on market: key indicator; stretches with a poorly calibrated price.

GO FURTHER

Quiz - test yourself

1. The market value is:

A) The price paid in the past

B) What an informed buyer pays today

C) Municipal assessment

D) The cost of renovations

2. The ACM compares your property to:

A) Houses from another city

B) Similar recent industry sales

C) Fictitious properties

D) Your purchase price

3. The best price reference is the properties:

A) For sale

B) Sold

C) Withdrawn

D) Dreamed

4. The municipal assessment is mainly used to:

A) Set the selling price

B) Calculate taxes

C) Pay the notary

D) Insure the house

5. Too high a starting price often leads to:

A) A quick and expensive sale

B) A property that stagnates and sells lower and later

C) More offers

D) No consequences

6. The market judges your price above all:

A) After six months

B) In the first two weeks

C) Never

D) To the notary

7. The cost of your renovations:

A) Always recovers 100%

B) Does not always recover equally

C) Set the value

D) Does not exist

8. A good price from the start can generate:

A) From the escape

B) Infatuation and sometimes overbidding

C) No visits

D) An immediate drop

Answers

1. B - It is the current market that decides (chap. 1).

2. B - Recent comparables and adjustments (chap. 2).

3. B - Anyone can ask for a price (chap. 2).

4. B - It is a fiscal tool (chap. 3).

5. B - She becomes “the one who hangs around” (chap. 4).

6. B - The first weeks are revealing (chap. 4).

7. B - Not all renovations are valued the same (chap. 1).

8. B - It creates competition (chap. 4).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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